easy to get lulled into a false sense of security that inflation is just not an issue anymore. The Federal Reserve's main policy mandate is to keep prices stable and even a whiff of unexpected pressure sends them into a tightening tizzy.

TABLE 5.1 Average Annual Inflation in the U.S.

Decade...	Rate...
1950s	2.1%
1960s	2.8%
1970s	7.9%
1980s	4.7%
1990s	2.8%

Data Source: CPI-U index, Bureau of Labor Statistics; IFID Centre calculations.

In this chapter, I take a much closer and more careful look at inflation and show you how it actually varies depending on your age and how, exactly, it is impacted by the way you spend your money. Oddly enough, you create your own inflation, and I'll explain what that means. When you are young, earning a salary and, therefore, in the process of converting human capital into financial capital, your equity-based investments tend to keep up with inflation. In all likelihood wages grow at a positive real (after inflation) rate over time, so that inflation is just not that much of a threat in your working years. If inflation picks up, you will likely demand a raise or bonus from your employer to keep up with the cost of living. Inflation is not high on the list of financial enemies during your working years.

But in the area of retirement income planning, things are very different. I believe that the relatively low inflation rates we have experienced in the last quarter century might actually be just as dangerous as the hyperinflation rates I grew up with in Latin America. This is because low numbers can be easily ignored. Yet, over long horizons they can be just as deadly, especially if you are not compensated for this risk and don't know your own inflation rate. Once again, one of the main financial risks we face as we age is our unknown and age-specific personal inflation rate. It is at retirement that management of inflation